

Fraud in an Audit of Financial Statements

Julie Corden
Fraud Task Force Chair

IAASB Meeting
June 20–23 and 28, 2023
Agenda Item 3

Fraud: Meet the Task Force



Applying the fraud lens in everything that we do

Fraud: Progress of the Project to Date

Approved the project proposal

December 2021

Discussed specific topics on fraud including, the introduction, specialized skills, risk identification and assessment, presumption of fraud risk in revenue recognition, journal entries, communication with TCWG, and transparency in the auditor's report on fraud

March 2022

Discussed specific topics on fraud including, risk identification and assessment, communication with those charged with governance (TCWG), transparency in reporting on fraud, and non-authoritative guidance illustrating linkages between ISA 240 and other ISAs

June 2022

Discussed specific topics on fraud including, risk identification and assessment, and transparency in the auditor's report on fraud

Presented the results of the targeted outreach with users of the financial statements

September 2022

Discussed specific topics on fraud including, fraud or suspected fraud, and transparency in the auditor's report on fraud

Presented an updated draft of proposed ISA 240 (Revised)

December 2022

Fraud: March 2023 CAG Discussion*

- **Overall**
 - Broad support for the proposed changes to ISA 240
 - Suggestion to highlight proposed changes aimed at promoting consistent practice and changing auditor behavior
- **Professional Skepticism**
 - Suggestion to develop specific examples that may demonstrate the exercise of professional skepticism throughout the audit
 - Caution about requiring excessive fraud-related audit procedures that may impede the appropriate exercise of professional skepticism
 - Consider other jurisdictional developments in this area
- **Identifying and Assessing Risks of Material Misstatement (RoMMs) Due to Fraud**
 - Highlighted the importance of considering fraud risk factors and investigating inconsistent or conflicting information that may be indicative of fraud
 - Emphasized the importance of the auditor's understanding of the entity when performing risk assessment procedures, considering where fraud could occur and when designing the audit procedures
- **Journal Entries**
 - Support for enhanced requirement to determine the need to test journal entries and other adjustments throughout the period
 - Emphasized the importance of assigning more experienced individuals when testing journal entries and other adjustment
 - Suggestion to consider “top side” management adjustments when performing journal entry testing

Fraud: March 2023 CAG Discussion

- **Fraud or Suspected Fraud**
 - Support for the “ramping up” of audit procedures when fraud or suspected fraud is identified
 - Suggestion to align the requirement with respect to control deficiencies related to the prevention or detection of fraud more closely with relevant internal control requirements in ISA 315 (Revised 2019) and ISA 265
- **Transparency in the Auditor’s Report on Fraud**
 - Support for the use of applying the key audit matter (KAM) “mechanism” when determining those fraud related matters that required significant auditor attention, including for the auditor to take into account the identification of deficiencies in internal control that are relevant to the prevention and detection of fraud
 - Support for the IAASB’s decision not to include a specific requirement to communicate identified significant deficiencies in internal control relevant to the prevention and detection of fraud in the auditor’s report
 - Suggestion to clarify how the auditor may respond when there are no fraud related disclosures in the financial statements
 - Caution about the use of boilerplate language when communicating fraud related KAMs in the auditor’s report
- **Audit Documentation**
 - Support for enhancements to document “significant professional judgments made,” which is considered important within the actuarial community
 - Recognition that documentation requirements could also drive changes in auditor behavior
- **Other Topics**
 - Encouraged enhancing the requirements on reporting to regulatory and enforcement authorities
 - Encouraged considering scalability in proposed ISA 240 (Revised), which could improve its usability for smaller practitioners

Fraud: Feedback from the Jurisdictional / NSS Meeting

- **Fraud or Suspected Fraud**

- Broad support for proposed changes, including alignment of the new or enhanced requirements in proposed ISA 240 (Revised) with ISA 315 (Revised 2019) and ISA 330
- Suggestion to consider required consultation with others within the firm and involvement of experts
- Suggestion to consider limiting the applicability of the required additional procedures to listed entities (or public interest entities)

- **Transparency in the Auditor's Report on Fraud**

- Broad support for the use of applying the KAM "mechanism" when determining those fraud related matters that required significant auditor attention
- Caution about the use of boilerplate language when communicating fraud related KAMs in the auditor's report
- Discussion about why there are different approaches when addressing transparency about fraud and going concern in the auditor's report
- Suggestion to consider the implications of communicating, in the auditor's report, a material uncertainty related to going concern that is closely interlinked with a fraud related KAM

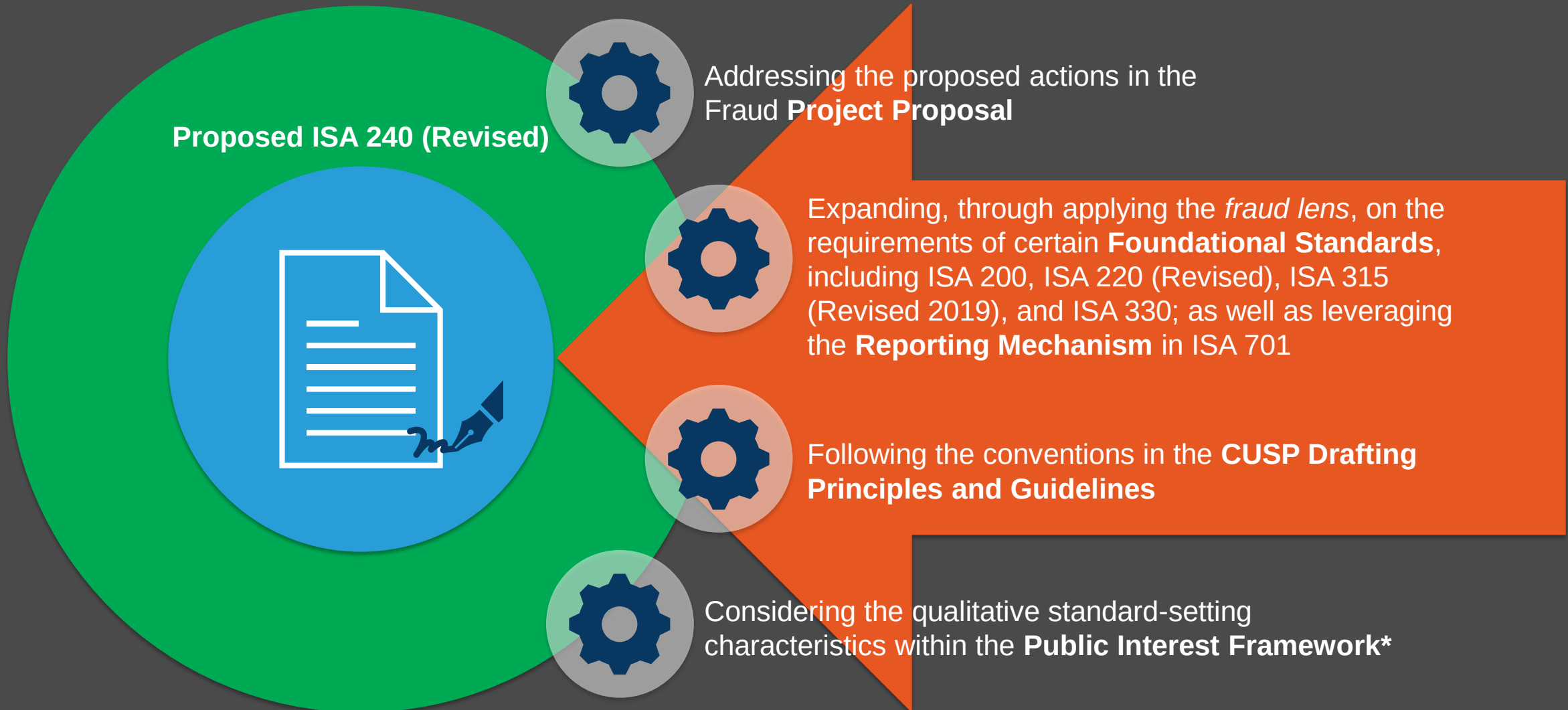
- **Other Topics**

- Suggestion to consider jurisdictional developments that may be relevant to the fraud project
- Suggestion to clarify how proposed ISA 240 (Revised) addressed one of the key issues related to the auditor's responsibilities (i.e., inherent limitations of an audit can be misleading and result in misunderstanding of the auditor's obligations)

Fraud: Coordination with IESBA, Task Forces, Consultation Groups and Experts



Fraud: Approach to Revising ISA 240



*See paragraph 26 of the project proposal and the Public Interest Framework (PIF) included in the Monitoring Group report *Strengthening the International Audit and Ethics Standard-Setting System*.

Fraud: Promoting Consistent Practice and Changing Auditor Behavior

PROFESSIONAL SKEPTICISM

Clarity and emphasis
on the auditor's
responsibilities

Applying a *fraud lens*
on risk identification
and assessment

Transparency on
fraud-related Key
Audit Matters (KAMs)
in the auditor's report



Ongoing communications
throughout the audit with
management and TCWG
about fraud-related
matters

Robust work effort
requirements when
fraud or suspected
fraud is identified

AUDIT DOCUMENTATION

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C**

Subheading	Requirement	Application Material
Introduction	Paragraphs 1–15	Paragraphs A1–A16

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Objectives	Paragraph 16	–
Definitions	Paragraph 17	Paragraphs A17–A22
Professional Skepticism	Paragraphs 18–21	Paragraphs A23–A30B

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Engagement Resources	Paragraph 22	Paragraphs A31–A34
Engagement Performance	Paragraphs 23–24	Paragraphs A35–A39
Ongoing Nature of Communications with Management and Those Charged with Governance	Paragraph 25	Paragraphs A40–A44

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Risk Assessment Procedures and Related Activities	Paragraphs 26–29	Paragraphs A45–A52
<i>Understanding the Entity and Its Environment, and the Applicable Financial Reporting Framework</i>	Paragraph 30	Paragraphs A54–A62

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
<i>Understanding the Components of the Entity's System of Internal Control</i>		
• Control Environment	Paragraph 31	Paragraphs A63–A73
• The Entity's Risk Assessment Process	Paragraph 32	Paragraphs A74–A86
• The Entity's Process to Monitor the System of Internal Control	Paragraph 33	Paragraphs A87–A89
• The Information System and Communication	Paragraph 34	Paragraphs A90–A92
• Control Activities	Paragraph 35	Paragraphs A93–A94
<i>Control Deficiencies Within the Entity's System of Internal Control</i>	Paragraph 36	Paragraph A95

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

- Regarding the Fraud TF’s proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Identifying and Assessing the Risks of Material Misstatement due to Fraud	Paragraphs 37–42	Paragraphs A96–A112

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Responses to the Assessed Risks of Material Misstatement Due to Fraud		
• <i>Designing and Performing Audit Procedures in a Manner That Is Not Biased</i>	Paragraph 43	–
• <i>Unpredictability in the Selection of Audit Procedures</i>	Paragraph 44	Paragraphs A113–A115
• <i>Overall Responses</i>	Paragraphs 45–46	Paragraph A116
• <i>Audit Procedures Responsive to the Assessed Risks of Material Misstatement Due to Fraud at the Assertion Level</i>	Paragraph 47	Paragraphs A117–A125

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Responses to the Assessed Risks of Material Misstatement Due to Fraud – continued		
• <i>Audit Procedures Responsive to Risks Related to Management Override of Controls</i>	Paragraph 48	–
○ Journal Entries and Other Adjustments	Paragraphs 49–50	Paragraphs A126–A140
○ Accounting Estimates	Paragraphs 51–52	Paragraphs A141–A145
○ Significant Transactions Outside the Normal Course of Business or Otherwise Appear Unusual	Paragraph 53	Paragraphs A146–A147

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

- 1. Regarding the Fraud TF’s proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Fraud or Suspected Fraud	Paragraphs 54–63	Paragraphs A148–A161

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Evaluation of the Sufficiency and Appropriateness of Audit Evidence	Paragraph 64	Paragraphs A162–A166
Auditor Unable to Continue the Audit Engagement	Paragraph 65	Paragraphs A167–A170

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Implications for the Auditor's Report	Paragraphs 66–69	Paragraphs A171–A187A

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Written Representations	Paragraph 70	Paragraphs A188–A189
Communications with Management and Those Charged with Governance	Paragraphs 71–73	Paragraphs A190–A195
Reporting to an Appropriate Authority Outside the Entity	Paragraph 74	Paragraphs A196–A200

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading	Requirement	Application Material
Documentation	Paragraph 75	Paragraph A201

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

1. Regarding the Fraud TF's proposed changes as outlined in **Agenda Item 3–A** and **Agenda Item 3–C** (continued).

Subheading		Appendix
Examples of Fraud Risk Factors		Appendix 1
Examples of Possible Audit Procedures to Address the Assessed Risks of Material Misstatement Due to Fraud		Appendix 2
Examples of Circumstances that May Be Indicative of Fraud		Appendix 3
Additional Considerations When Selecting Journal Entries and Other Adjustments for Testing		Appendix 4
Other ISAs Addressing Specific Topics that Reference Fraud or Suspected Fraud		Appendix 5

Fraud: Matters for the IAASB Consideration

The Board is requested to provide its views

2. As to whether there are any other matters the Fraud TF should consider in order to promote consistent practice and change auditor behavior when performing work related to fraud in an audit of financial statements.

Fraud: Way Forward

Progress proposed ISA 240 (Revised) based on feedback received

Ongoing Collaboration with IESBA,
Engagement with Task Forces, Working Groups
and Consultation Groups, as applicable
Stakeholder Outreach, as necessary

July – September 2023

Progress proposed ISA 240 (Revised) based on feedback received

October – December 2023

September 2023

Discussion with the IAASB CAG on select
topics of proposed ISA 240 (Revised)

Discussion with the IAASB on a draft of
proposed ISA 240 (Revised)

December 2023

Expected approval by the IAASB of exposure
draft, proposed ISA 240 (Revised)

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